www.PapaCambridge.com

UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

ECONOMICS **2281/13**

Paper 1 Multiple Choice **May/June 2010**

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

4636590223

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

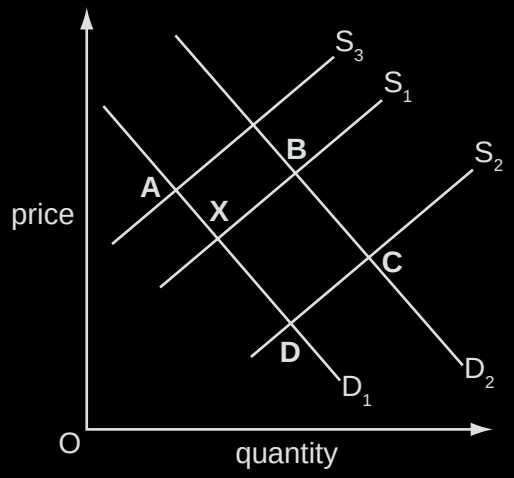
Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.

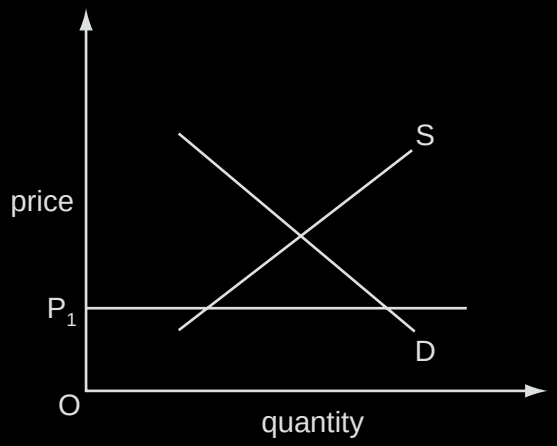
UNIVERSITY of CAMBRIDGE
International Examinations

www.PapaCambridge.com

www.PapaCambridge.com



www.PapaCambridge.com



A maximum price P_1 is fixed by the government.

What is likely to be the immediate result of this?

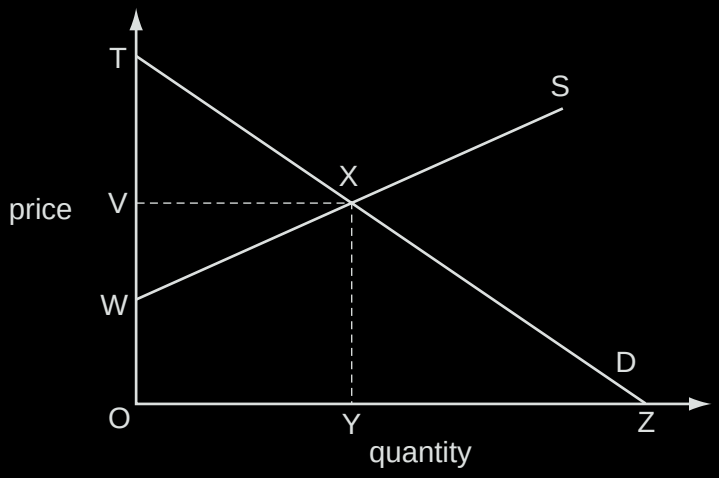
A a movement of the demand curve to the right

B a movement of the supply curve to the right

C a shortage of bread

D a surplus of bread

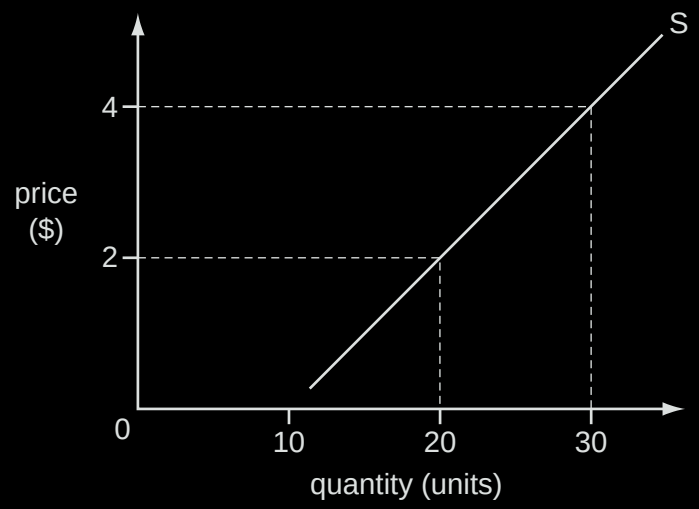
9 The diagram shows a market for wheat that is in equilibrium.



Which area represents the total revenue for wheat farmers?

A OTXY **B** OVXZ **C** OVXY **D** OWXY

www.PapaCambridge.com



What is the price elasticity of supply when the price rises from $2 to $4?

A 0.2 **B** 0.5 **C** 1 **D** 2

11 What could a government do to reduce external costs in the economy?

A Decrease direct tax for higher income earners.

B Decrease direct tax for lower income earners.

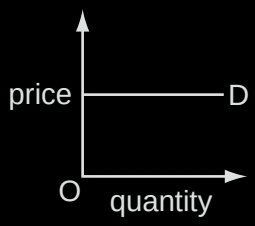
C Increase indirect tax on petrol / gasoline.

D Remove indirect tax on tobacco.

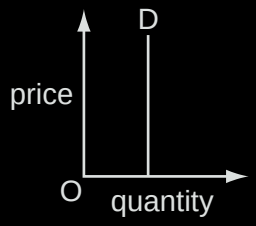
12 The diagrams show possible demand curves for four commodities.

Which diagram shows a completely inelastic demand curve?

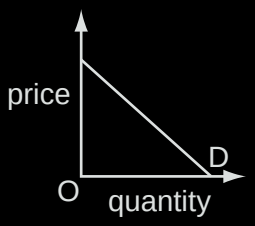
A



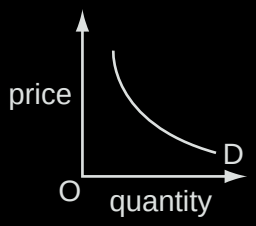
B



C



D



www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com